Extra exercises of Lecture 5

EX 1
Which of the following securities are money market instruments?
I. T-bills
II. Commercial paper
III. Treasury perpetuity bonds
IV. Agency bonds
a) I, II and III
b) II, II and IIV
c) I, II and IV
d) I and II

EX 2
Which entity can issue commercial paper and cannot issue certificates of deposits?
a) a government
b) a non-financial corporation
c) a bank
d) none of the others

EX 3
The Treasury is auctioning $1,800 million par value 182-day T-bills. The non-competitive bias amounted to $200 million. The following competitive bids were received:

- Bidder 1: $600 million at $994
- Bidder 2: $700 million at $997.5
- Bidder 3: $200 million at $996
- Bidder 4: $400 million at $997

How many Treasuries does Bidder 1 obtain from the auction?
a) $200 million
b) $100 million
c) $0 (i.e., he obtains no Treasuries)
d) $300 million

EX 4
Which of the following are true about repos and Fed Funds?
I. repos are secured loans, Fed Funds are not
II. Fed Funds are secured loans, repos are not
III. only some financial intermediaries are allowed to buy Fed Funds from the Fed; with repos, also non-banks can participate
IV. both repos and Fed Funds are secured loans, but financial intermediaries can only trade Fed Funds
a) I and III
b) II, III and IV
c) II and IV
d) III and IV